

Valuation of Tesla

Tesla Key Numbers:

Market Cap: \$1,280.55 B (Share price x Shares outstanding)

Net Debt: -\$27.8 B Tesla has more cash than debt: Total Debt – Cash

Enterprise Value (EV): \$1.25 T (Market Cap + Net Debt)

EV / EBITDA: 116x

Peer Comparison “As of late Nov 2025, based on publicly available data”:

Company	Market Cap (B \$)	EV (B \$)	EBITDA (B \$)	EV / EBITDA
Tesla	1,280	1,252.2	10.8	116.5x
GM	65.9	174.69	16.56	8.2x
Ford	49.89	127.57	9.71	14.9x

Why Tesla's Multiple is Higher:

Net Cash / Low Debt & Reinvestment Potential:

- Low Financial Risk, allows reinvestment to expand production and tech, R&D,
- Tesla has reduced financial risks compared to GM/Ford making investors willing to pay a premium

Brand Strength / Market Perception:

- Premium EVs, Full Self-Driving Software (FSD),
- Diverse market with EV Charging network,
- High-profile CEO with market Influence
- High Investor excitement drives the stock price
- Tesla is seen as a leader within technology and not just manufacturing

Margin Profile / Revenue Growth:

- Efficient EV production, diverse market: Solar & Energy products, EV charging Network, High profitability with low debt.
- Investors expect the revenue growth to continue to be faster than the traditional automakers.

DCF Valuation:

EBIT = \$81B

Depreciation & Amortization (D&A) = \$6B

Tax Rate = 22.3%

Capex (Capital Expenditures) = \$8.9B

Unlevered Free Cash Flow = \$60B

Unlevered Free Cash Flow (UFCF):

$\text{UFCF} = \text{EBIT} \times (1 - \text{Tax Rate}) + \text{D\&A} - \text{Capex}$

$= \$81\text{B} \times (1 - 22.3\%) + \$6\text{B} - \$8.9\text{B}$

$= \$60.0\text{B}$

WACC = 9%

UFCF Growth Forecast = 5% per year (5-year projection)

Forecast UFCF (5-year projection):

(Reasonable growth rate 5%)

Discounted UFC (Using WACC 9%)

Year	UFCF Forecast (B \$)
1	$60 \times 1.05 = 63.0 \text{ B}$
2	$63 \times 1.05 = 66.15 \text{ B}$
3	$66.15 \times 1.05 = 69.46 \text{ B}$
4	$69.46 \times 1.05 = 72.94 \text{ B}$
5	$72.94 \times 1.05 = 76.59 \text{ B}$
Year	Discounted UFCF 9% (\$B)
1	$63 / 1.09^1 = 57.8$
2	$66.15 / 1.09^2 = 55.7$
3	$69.46 / 1.09^3 = 53.6$
4	$72.94 / 1.09^4 = 51.5$
5	$76.59 / 1.09^5 = 49.6$

Sum of discounted UFCF \$268.2B

Terminal Value (TV) (Exit Multiple):

Year	EBITDA
1	11.34
2	11.91
3	12.51
4	13.13
5	13.79 B

Terminal Value = Year 5 EBITDA × Exit Multiple

= \$13.79B × 25.0x

= **\$344.75B**

Present Value of Terminal Value

= \$344.75B / (1.09)⁵

= **\$224.1B**

Enterprise Value

= PV of Forecast UFCF + PV of Terminal Value

= \$268.2B + \$224.1B

= **\$492.3B**

Equity Value

= Enterprise Value – Net Debt

= \$492.3B – (-\$27.8B)

= **\$520.1B**

DCF Implied Share Price

= \$520.1B / 3.53B shares

= **\$147/share**

Justification:

- A 5% annual UFCF growth assumption is used as a conservative base case relative to Tesla's historically strong growth.
- EBITDA multiple was selected for the base case to provide a market-based terminal value assumption.
- I use 25x EBITDA to avoid the unrealistic 116x valuation, when calculating it is important to see beyond the current hype and instead reflect the long-term normalized expectations
- A 9% WACC is applied to reflect the assumed risk characteristics of the business and the uncertainty associated with its growth and future cash flows.

Interpretation: DCF vs Market Value

DCF Implied Share Price = \$147/share

Reference Market Price = \$362 / share

Analysis:

The DCF produces an implied share price materially below the reference market price, indicating that the market price reflects substantially higher expectations for Tesla's future growth and/or profitability than assumed in the base-case valuation.

The difference between the DCF value and reference market price may reflect market expectations regarding:

- Future growth and revenue expansion
- Technology and software opportunities
- Full Self-Driving (FSD)
- Expansion of Tesla's energy business
- Long-term profitability and margin potential

